HMO Feasibility Summary

Project: Former Lloyds Bank, Bath Street, Cheddar, BS27 3AB
Client: Sam Notaro
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1. Property and Location Overview

The site is the former Lloyds Bank on Bath Street, three storeys with two cottages alongside and a yard to the rear. The branch closed in January 2023 and the lot goes to auction this week at a guide of around £400,000. All three buildings need a full back to brick refurbishment.

The Cheddar Conservation Area was designated in 1991 and the site sits within it. The bank itself is not listed. The Market Cross at the top of Bath Street, however, is both Grade II* listed and a Scheduled Monument, so its setting carries the highest level of heritage protection under NPPF paragraph 200(b). Any external work visible from the Cross will be scrutinised closely.

Cheddar is classed as a Tier 1 Rural Service Centre in the Sedgemoor Local Plan and the site is inside the village development boundary. Bath Street is the A371, with a 20mph limit through the village. Bus 126 runs along the street and the village shops, schools and GP surgery are all on foot.

Two existing consents matter. Planning permission 17/23/00064 was granted in August 2024 for a 20 space car park to the rear, accessed from Lower North Street. Prior approval 17/25/00004 in March 2025 confirmed that converting the bank and cottages into four dwellings does not need prior approval. The principle of residential use is therefore already established, and a four flat scheme sits behind the proposed scheme as a fallback.

2. Proposed HMO Strategy

Recommended scheme

A mixed use scheme. The 45.2 sqm Class E unit stays in place at the Bath Street frontage. An 11 bed sui generis HMO sits above and behind it, running across ground, first, second and a new mansard at third floor.

Why this strategy

- Answers Cheddar Neighbourhood Plan Policy EE1, which resists converting commercial centre properties to residential at ground floor level.
- Follows the approved approach at 75 High Street, Burnham (May 2025), where the ground floor commercial was retained with HMO above.
- Stays well clear of the quantum that caused the recent Sedgemoor refusal at Hillview Nursing Home (37 beds, April 2024).
- Uses the consented 20 space rear car park, which takes the highways and parking question off the table under Policy D14.

Use class and licensing

At 11 beds the scheme is above the Class C4 ceiling (which covers 3 to 6 persons), so it is sui generis and needs full planning permission. Mandatory HMO licensing under the Housing Act

2004 applies, and Somerset Council runs no additional or selective licensing scheme in Cheddar. The 11 occupant count puts the scheme into the upper bracket of the proxy standards, so room and amenity details should be agreed with Somerset's Housing Standards team.

Bedroom and amenity check

Every bedroom exceeds the proxy minimum. The smallest room is 10 sqm (Bed 11 in the mansard) and the largest is 22 sqm (Bed 1 on the ground floor). The first floor communal kitchen and lounge is 27.5 sqm, which meets the standard for the 7 to 10 person bracket, with a smaller 10 sqm kitchen on the mansard serving the upper cluster. Every room is ensuite. Amenity sits comfortably above the benchmark and gives a strong position under Policy D25.

- Bed 1 (GF): 22 sqm, ensuite
- Bed 2 (1F): 15 sqm, ensuite
- Bed 3 (1F): 17.5 sqm, ensuite
- Bed 4 (2F): 15.7 sqm, ensuite
- Bed 5 (2F): 15.6 sqm, ensuite
- Bed 6 (2F): 15.4 sqm, ensuite
- Bed 7 (2F): 19.5 sqm, ensuite
- Bed 8 (3F mansard): 15.4 sqm, ensuite
- Bed 9 (3F mansard): 11.8 sqm, ensuite
- Bed 10 (3F mansard): 12 sqm, ensuite
- Bed 11 (3F mansard): 10 sqm, ensuite

Commercial retention rationale

Removing the commercial unit would free space for two further bedrooms in the same envelope. That upside has been parked at this stage. Policy EE1 resists residential conversion at ground floor level in the village commercial centre, and overturning that would need real evidence: a documented marketing exercise, a sustained vacancy, and ideally a viability appraisal. The safer route is to retain the commercial now, secure the 11 bed scheme, and come back for the two extra rooms later as a separate application once vacancy and lack of demand are well evidenced.

3. Design Opportunities and Key Constraints

Ground floor

The Bath Street frontage stays as a 45.2 sqm Class E unit with the shopfront active and its own customer entrance. Behind it, the ground floor takes Bed 1 (22 sqm, ensuite), a covered cycle store of 11.6 sqm and the HMO entrance. Cars come in off Lower North Street into the consented rear car park.

Upper floors

First floor takes two bedrooms (15 and 17.5 sqm), a utility cupboard and the main 27.5 sqm shared kitchen, dining and lounge. Second floor takes four bedrooms (15.4 to 19.5 sqm), all ensuite. The new mansard at third floor takes a further four bedrooms (10 to 15.4 sqm) and a smaller 10 sqm kitchen that serves the upper cluster.

Roof and external strategy

The new mansard sits behind the existing front parapet so the view from the Market Cross junction reads as before. Slate finish to match the local rooflines. Any solar PV or rooflights are kept to the rear slopes only. Plant and flues stay inside the roof envelope. Replacement windows on the principal elevations are timber sash to match what is there.

Bin and cycle storage

- Two 1,100 litre Eurobins for general refuse and dry recycling, with a 240 litre glass bin and food waste provision.
- Bin store sized roughly 3.5m by 2.0m, ventilated, hard washable surfaces.
- Maximum 10m drag distance to the agreed collection point off Lower North Street.
- Eleven covered long stay cycle spaces in a secure rear store, with two short stay visitor stands at the entrance.

4. Planning Position and Risk

Principle of development

- Residential principle established by prior approval 17/25/00004 (March 2025) for four dwellings.
- Direct precedent for Class E to HMO conversion at 16 Northgate, Bridgwater (08/24/00027, approved 2024).
- Direct precedent for retained commercial with HMO above at 75 High Street, Burnham (approved May 2025).
- Cheddar is a Tier 1 Rural Service Centre in the Sedgemoor Local Plan; the site sits inside the development boundary.

Main planning risk

The biggest planning risk is heritage harm to the setting of the Market Cross. Because the Cross is both Grade II* and a Scheduled Monument, any harm to its setting hits the highest policy threshold under NPPF paragraph 200(b). The mansard does add heritage sensitivity, but it sits behind the front parapet, is finished in slate and is not visible from the principal view down Bath Street toward the Cross. The combination of that set back, a Heritage Statement covering the key views and a pre application meeting with the Somerset Conservation Officer should be enough to manage the risk.

Secondary risks

- Policy EE1 (commercial centre retention): managed by keeping a Class E unit at the Bath Street frontage with an active shopfront.
- Residential amenity under Policy D25: managed by bedroom sizes above the licensing minimum, around 50 sqm of external amenity, and waste storage at a sensible distance from neighbours.
- Parish level objection on character or parking: managed by the consented 20 space car park and by a short marketing statement on the viability of the retained shop.
- Quantum: a 23 occupant scheme is not recommended without pre application support. The Hillview 37 bed refusal shows that quantum is the decisive trigger for refusal in Somerset.

Supportability and pre application

On the scheme as drawn, the application is in our view supportable at officer level. A pre application meeting with both the Conservation Officer and the case officer is recommended before submission.

5. Building Regulations and Technical Compliance

This is a back to brick refurbishment with a material change of use, so it needs a full Building Regulations submission rather than a light refurb.

Part B (fire)

- Grade A Category LD1 fire detection system for a three storey sui generis HMO.
- Fire doors to bedrooms, kitchens and circulation, with a protected escape route from all floors.
- Emergency lighting to BS5266 across the escape route.

Part E (acoustics)

- Upgraded floor and party wall build ups between HMO units and between the retained Class E unit and the HMO above.
- Pre completion testing on the new separating elements.

Part L (thermal)

- Full thermal upgrade of the envelope: insulation to walls, roof and floors.
- Replacement double glazed timber sash windows on principal elevations, with higher performance units to the rear.
- Low carbon heating strategy, heat pump or hybrid, where the historic envelope allows.

Part F (ventilation)

- Mechanical extract to bathrooms and kitchens at the compliant rates.
- Background ventilation to bedrooms via trickle vents, or system 3 MVHR if envelope tightness allows.

Worth engaging Building Control at concept stage given the Conservation Area constraints around visible plant, flues and rooflights.

6. Commercial Position

Room rates in Cheddar (BS27) and the immediate Mendip villages run in the £650 to £750 PCM range. SpareRoom listings for Cheddar and Draycott show doubles at £720 to £750 PCM bills inclusive. Because every room in the proposed scheme is ensuite, it should sit at the upper end of that band. The model uses £700 PCM as a blended room rate.

Indicative HMO figures (11 bedrooms)

- Per room rate: £700 PCM (blended, all ensuite).
- Gross annual rent: £92,400.
- Net annual rent: £69,300 (25 percent operating cost allowance).
- Indicative HMO GDV at 8.5 percent commercial yield: approximately £815,000.

Retained Class E unit

The 45.2 sqm retained shop is modelled as a low yield commercial income stream of roughly £12,000 to £15,000 per annum gross. Capital value at a 7 percent yield is approximately £170,000 to £215,000. Combined with the HMO, total indicative GDV for the mixed use scheme lands in the £985,000 to £1,030,000 range, around the £1 million upside that was discussed at the initial call.

Build cost

Build cost is modelled at £30,000 per bed for a back to brick HMO conversion, with a 10 percent Conservation Area contingency and an allowance for the new mansard structure and slate finish. That puts the HMO build at around £395,000 including the mansard, with another £15,000 for a shell fit out of the retained Class E unit. The £266,000 figure used in the initial feasibility sits at the lower end of the range and assumes no mansard premium and no heritage cost loading.

Headline test

Purchase at around £400,000 plus build at around £410,000 totals approximately £810,000. Against an indicative GDV of £985,000 to £1,030,000, that leaves a margin of £175,000 to £220,000 before fees and finance. The mansard is doing most of the lift relative to a 10 bed base case, by adding the four upper floor bedrooms. A future application to remove the commercial unit and add two further rooms would add roughly £16,800 a year in gross rent, but the planning case for that step needs strong evidence of commercial vacancy and lack of demand.

All figures are indicative and need validation by your valuer and broker. Damien is worth involving early to refine the GDV multiplier, as Cheddar has limited HMO comparables and the multiplier matters.

7. Key Next Steps

To confirm on your side

Test viability and likely demand for the retained Class E unit, through local agent feedback or a short marketing exercise. The outcome decides whether to stay with the 11 bed scheme or to scope a future application that removes the commercial unit and adds two further rooms.

Stages Thistle Architecture can take on next

Once you are clear on the auction position, Thistle Architecture is available to take on any of the following on your instruction:

- Feasibility study for the two adjacent buildings and the area behind the consented car park, to test the wider site potential.
- The full planning application package for the 11 bed mixed use scheme, including drawings, Design and Access Statement, application forms and supporting documents.
- A Heritage Statement covering the Conservation Area and the setting of the Market Cross.
- The Building Regulations submission once planning consent is in place (Part B, E, L and F).
- Any further consultant inputs the case officer requests at validation, for example an acoustic statement, transport statement or ecology survey.

8. Conclusion

The site is a sound feasibility candidate. The principle of residential conversion is already established by the existing consent, the rear car park takes the headline highways question off the table, and there is direct precedent for the mixed use approach in similar Somerset villages.

The two real risks are heritage harm to the setting of the Market Cross and conflict with Policy EE1 of the Cheddar Neighbourhood Plan. Both are manageable through the design strategy: retain the Bath Street frontage as Class E with an active shopfront, keep external work confined to rear and roof elements that are not visible from the Market Cross junction, and submit a Heritage Statement informed by a pre application meeting.

The proposed planning submission scheme is an 11 bed sui generis HMO above a retained 45.2 sqm Class E ground floor unit. The mansard at third floor sits behind the front parapet so the view toward the Market Cross is preserved. Every bedroom exceeds the proxy minimum and every room is ensuite. Indicative GDV sits at £985,000 to £1,030,000 against a total project cost of around £810,000. The two bedroom upside from removing the commercial unit is held in reserve as a future application, once commercial vacancy and lack of demand are well evidenced.